

Preparing Your Data

What to clean, what to protect, and what to keep out entirely

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The phrase "garbage in, garbage out" predates AI by decades, but it has never been more relevant. The quality of what an AI tool produces is directly shaped by the quality of what you give it. For nonprofits, this has two dimensions: the accuracy of your data, and its appropriateness for use in an AI tool at all.

This document covers both. It is written for organizations that are already using or actively planning to use AI tools with their own data — program records, case notes, client intake information, service logs, evaluation data, or grant data. If you are still deciding whether to use AI, the companion document on privacy is a useful starting point.

Preparing data for AI use is not a technical task. It is a judgment task. The question is not whether you

can process it — it is whether you should, and in what form.

What "data" means in this context

When nonprofits talk about using AI with their data, they usually mean one of a few things: asking AI to help analyze program outcomes, using AI to draft reports based on service records, having AI summarize case notes or meeting notes, or uploading documents for AI to search and synthesize.

All of these involve transferring information from your organization's systems to an external AI tool. The preparation questions are the same regardless of the specific use case: Is this information accurate enough to be useful? Does it contain anything that should not leave your organization? And is it structured in a way that the tool can actually work with?

Sensitivity tiers: how to categorize what you have

Not all organizational data carries the same privacy weight. A useful starting point is sorting your common data types into tiers based on how sensitive they are and what constraints apply to them.

TIER	EXAMPLES	AI USE GUIDANCE
High sensitivity	Client names + service details, case notes, medical or psychiatric records, immigration status, income and benefits data, housing placement records	Do not use in external AI tools. If analysis is needed, anonymize or aggregate before any AI tool touches it.
Medium sensitivity	Aggregated program outcome data, anonymized case	Usable with caution. Verify that no

TIER	EXAMPLES	AI USE GUIDANCE
	examples, internal staff notes not tied to clients, internal financial summaries	individual can be identified from the data before using. Check vendor data handling terms.
Lower sensitivity	General program descriptions, published reports, grant narratives (submitted), board meeting minutes without client discussion, job postings, general organizational communications	Generally appropriate for AI assistance with standard review.
Administrative	Template letters, policy documents, staff handbook drafts, internal procedure documents	Appropriate for AI drafting and editing assistance.

What anonymization actually requires

Removing a name does not anonymize a record. In a small community or a small program, enough context can identify an individual even without a name attached. True anonymization requires removing or generalizing enough information that re-identification is not reasonably possible.

THE RE-IDENTIFICATION TEST

Before using any client-adjacent data with an AI tool, ask: if someone who knew this client read this text, could they figure out it was about that person? If yes, more needs to come out. Details to check: name (obvious), but also employer, school, specific neighborhood, diagnosis in combination with other details, service dates that narrow down who was enrolled, and any detail unique to that individual's situation.

For most nonprofit reporting and analysis tasks, the goal is not to anonymize individual records for AI use — it is to aggregate data before it reaches the AI tool. Totals, rates, percentages, and program-level trends are analytically useful and carry dramatically lower privacy risk than record-level data.

Cleaning data before AI use

Beyond privacy, data quality matters for output quality. AI tools work best with information that is consistent, complete, and clearly structured. Common data quality issues in nonprofit records include inconsistent formatting, missing fields, duplicate entries, outdated information, and notes that made sense in context but lack the background for an AI tool to interpret correctly.

1 Check for inconsistencies.

If you are using AI to analyze program data, inconsistent category names, date formats, or status labels will produce confused output. Standardize before you analyze.

2 Remove or flag outdated records.

AI tools do not know that a record from five years ago reflects a program that no longer exists. Flag or exclude data that predates significant program changes if you want the output to reflect current operations.

3 Provide context the tool cannot infer.

If you are uploading a document for AI to summarize or analyze, include a brief description of what it is and what you need from it. "This is a quarterly service log for our employment program. I need a summary of outcomes and any patterns in service gaps" will produce better output than uploading the file alone.

4

Check for embedded sensitive information.

Spreadsheets, reports, and documents sometimes contain more than you realize. A grant report may include a case study with enough detail to identify a client. An outcomes spreadsheet may have a notes column with personal information. Review before uploading, not after.

A practical pre-use checklist

BEFORE ANY DATA GOES INTO AN AI TOOL

Have I identified what sensitivity tier this data falls into?

If it is high sensitivity: have I anonymized or aggregated it sufficiently that re-identification is not reasonably possible?

Have I checked for embedded personal information that might not be obvious (notes columns, case examples, embedded metadata)?

Is the data accurate and current enough to produce useful output?

Have I verified that the tool I am using is approved for this type of data under our organization's guidelines?

Do I have a data processing agreement in place with this vendor if using medium or higher sensitivity data?

Data preparation is not a one-time task. As your AI use evolves, the types of data you work with and the tools you use will change. Building a regular review habit — checking what is being used, how, and whether the current approach still makes sense — keeps the practice healthy over time.

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